

growth stocks, and showed that buying and holding growth stocks is a terrible bet. Most people's immediate gut reaction to “momentum” is that momentum investing *IS* growth investing. Unfortunately, this is a misconception in the market. Momentum and growth, while related, are certainly not the same. We explore some data to flesh out this point. We examine data from July 1, 1963, until December 31, 2014, and explore the overlap between the top decile of mid to large cap stocks formed on past 2- to 12-month momentum and a decile of growth stocks (formed on EBIT/TEV). We find that the overlap between the portfolios is only 29 percent! So while momentum and growth are considered similar by the ill-informed investment community, they are decidedly *not the same*.

Vanguard 500 Index Fund Investor Shares (VFINX)

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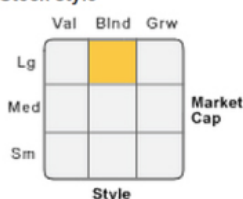
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Portfolio

Stock style



Vanguard 500 Index Fund seeks to track the performance of a benchmark index that measures the investment return of large-capitalization stocks.

Learn more about this portfolio's investment **strategy and policy**.

Figure 8.4 Vanguard Stock Style Chart

Overall, we believe that human behavioral biases cause a systematic momentum premium. The goal of the next section is to explain how an investor can construct a simple security selection momentum model.

A Simple Momentum Model That Works

How does one go about implementing a momentum strategy? The ways portfolios are formed in academic literature vary. However, there is one recurring theme: All momentum strategies sort stocks based on past returns (generally 6 to 12 months of past cumulative returns). Screening securities based on this metric is relatively simple to accomplish. But how does a simple momentum model perform? Similar to value, we examine only firms above the NYSE 40th percentile for market capitalization to eliminate smaller firms and minimize the size effect. Portfolios are formed by equally weighting the firms.